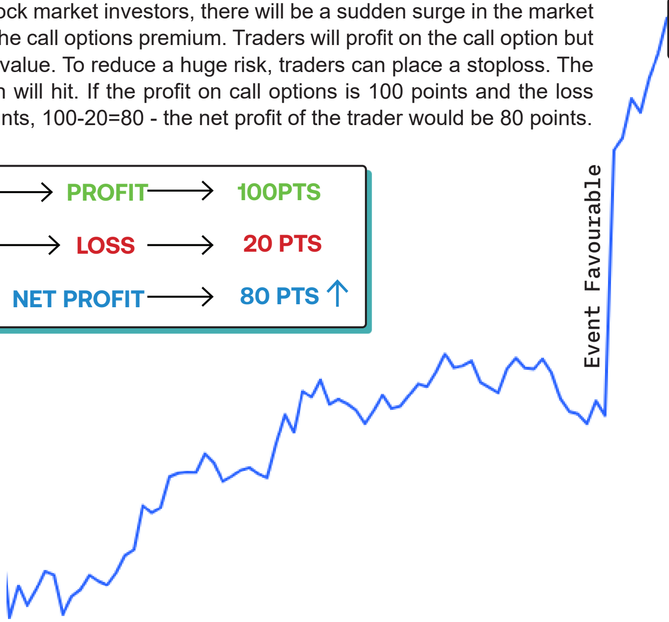
If the event favours the stock market investors, there will be a sudden surge in the market leading to an increase in the call options premium. Traders will profit on the call option but the put option would lose value. To reduce a huge risk, traders can place a stoploss. The stoploss on the put option will hit. If the profit on call options is 100 points and the loss on the put option is 20 points, 100-20=80 - the net profit of the trader would be 80 points.

CALL → PROFIT → 100PTS

PUT → SL HIT → LOSS → 20 PTS

NET PROFIT → 80 PTS ↑



As the days passes by, the strategy becomes more prominent. It is a universal fact that when something becomes too popular, it looses its exclusivity. Nearly every second trader deploys this strategy during event days. For smart traders, it is easy to spot this strategy through option chain data.

THE FLAWED TRADITIONAL APPROACH

Let us delve deep into the concept of long straddle strategy and see how it gives discouraging results. Traders would typically execute this strategy by purchasing At-the-Money call and put options based on the spot prices at 9:30 in the morning. The approach seemed straightforward: set stoploss and target levels for each position and wait for the trade to either hit the stoploss, reach the target, or exit at 3:15 p.m. However, as we analyze the historical performance of this strategy over the past 6 years, a discouraging reality emerges. The cumulative curve reveals consistent losses, totalling a significant negative figure of 1.6 lakhs.

The traditional long straddle strategy, which involved buying both the call and put options, proved to be a suboptimal approach. Despite occasionally profitable trades, the overall results were unfavourable. This prompted the need for a new and improved strategy that could potentially reverse the losses and provide consistent profitability.